

7176.T - Skeptical Equity Report

****Simplex Financial Holdings Co., Ltd.****

****Date:** 4 J**

Related files: `deep\_dive\_2026-06-04.md`, `valuation.json`, `adversarial\_2026-06-04.md`, 136 IR PDFs under `7176.T/`.

Executive summary (skeptic)

Simplex is a ****profitable, fast-growing Japan asset manager and ETF sponsor**** with FY2026 parent earnings of ****JPY 317**** per share (split-adjusted) and ****JPY 1.34 trillion**** of assets under management. On paper, a ****~3.4x**** multiple to ****mid-cycle**** owner cash (****JPY 137**** per share, FY2025) and a mechanical ****50%+**** seven-year annual return look like a hidden gem.

****We do not think a USD 10k-100k position is a realistic or well-understood public-market bet today.**** Reasons:

1. ****Wrong market label:**** The stock is on ****TOKYO PRO Market****, not TSE Prime. Access is restricted to ****specified / professional investors****; general retail cannot buy on the open market ([JPX TPM overview](https://www.jpx.co.jp/english/equities/products/tpm/outline/01.html)).

2. ****Almost volume in ****

****Bottom line:**** The business may be good; the ****listed minority equity line is not a conventional, investable security**** for your use case. High spreadsheet IRR is ****arithmetic on a stale quote****, not an executable edge.

What the company actually is

Item	Fact (filings)
Legal name	Simplex Financial Holdings Co., Ltd.
Ticker	**7176** (TSE code; segment **TOKYO PRO Ma
Founded (holdco)	October 2006; asset management roots from
HQ	Tokyo (Marunouchi)
Business	Investment management, ETF listing/managem
Reportable segment	**Single segment:** investment management
Employees	**55** (FY2026)
Shares outstanding	**27.12 million** (post **1-for-20** split
J-Adviser	Japan M&A Center, Inc.

****Sources:**** FY2026 earnings release (`finfo2026.pdf`), variance notice (`Pnotice2026-1.pdf`), issuer information PDFs in `7176.T/01\_Official/`.

Why the ?fantastic investment? story sounds plausible

Bull hook	Why it seduces
High ROE (~59% FY2026)	Looks like a compounder
ETF + hedge-fund heritage	Niche ?croupier? on Japan flows
Low P/E on mid-cycle EPS	~3.4× on JPY 137 FY2025 earnings at JPY 464 prin
Mechanical IRR >50%	Lawrence model at last print
Cash building	OCF JPY 11.7 bn FY2026

****Skeptic translation:**** You are being offered ****equity in a private-quality balance sheet**** wrapped in a ****PRO-market shell**** with ****no real float and no dividend****.

Twelve reasons to push back (disprove ?fantastic? for your wallet)

1. You may not be allowed to buy it

TOKYO PRO Market limits ****buyers**** to specified investors (qualified institutions, certain corporates, individuals who elect ?specified investor? status with a broker, non-residents, etc.). ****General Japanese retail cannot place buy orders**** on the market ([JPX](https://www.jpx.co.jp/english/equities/products/tpm/outline/01.html)). A U.S.-based investor must confirm eligibility with a ****Japan broker**** (professional / specified investor pathway). ****CapIQ will not solve access.****

2. There is effectively no public trading

****Yahoo Finance (7176.T), full history, auto-adjusted for splits:****

Date	Close (JPY, split-adj.)	Volume (shares)
2015-01-27	0.44	1,000,000
2016-01-20	2.42	100,000
2018-03-13	21.12	1,100,000
2020-02-10	223.10	1,000
2021-01-07	323.50	1,000
2021-07-06	463.50	1,000
2022-01-07	634.00	1,000
2022-07-06	884.00	1,000
2023-01-11	1,334.00	1,000
2023-07-04	1,703.00	100
2024-01-10	2,330.00	100
2024-07-03	3,885.00	100
2025-01-08	5,130.00	100
2025-07-03	7,110.00	100
2026-01-07	**464.00**	**100**

- ****15 trading days with volume**** in ~2,795 calendar days (~0.5%).

- ****Average**

3. The January 2026 print is not the market clearing at JPY 464?

- **JPY 464 × 100 shares = JPY 46,400** (~USD 300) of stock changed hands.

- **Implied
none of the

4. November 2025 split confuses crash narratives

On **1 Nov 2025** the company executed a **1-for-20** stock split (record date 31 Oct 2025) to lower the **investment unit** ([IR notice](7176.T/03_Events/Timely_Disclosures/20250924_????????????????????_irnews20250924.pdf)). Split-adjusted, **JPY 7,110 (Jul 2025)** ? **JPY 355** theoretical, vs **JPY 464** last print - **not** a 93% fundamental collapse. Vendors showing **52-week highs near JPY 7,110** are mixing pre-split optics.

5. Performance fees are cyclical, not normalized earnings

Fee type	FY2026	YoY
AUM	JPY 1,335.7 bn	+2.9%
Base fees	JPY 78.69 bn	+17.1%
Success fees	**JPY 143.16 bn**	**+53.6%**

Success fees were roughly **65%** of base+success fees in FY2026. If markets mean-revert, **FY2026 JPY 317 EPS is a peak**, not mid-cycle. Using **FY2025 JPY 137** for valuation is intellectually honest; using FY2026 while citing low P/E is **double-counting cheapness**.

6. AUM growth did not drive the earnings explosion

Revenue **+38.5%** with AUM **+2.9%** means **fee mix and performance**, not secular AUM tailwind. **Partial moat at best** - clients can leave; global ETF sponsors compete.

7. No dividend - minority is last in line for cash

Filings: **no cash dividend** FY2025-FY2026. Cash rose to **JPY 23.6 bn** (FY2026). For a **non-control** holder, value realization requires **future dividend policy change**, **buyback at fair price**, or **sale of control** - none assured.

8. Buybacks happen off-exchange (ToSTNeT-3), not in the tape

The IR archive shows **repeated** off-auction? **ToSTNeT-3** treasury purchases and cancellations (2017-2025). These support liquidity and capital structure but **do not create a daily exit** for you. **Aug 2025** cluster of notices = corporate action, not proof of float.

9. Liquidity provider churn

Ace Securities retired as liquidity provider **30 Apr 2022**; **Aizawa Securities** appointed ([IR 8 Apr 2022](7176.T/03_Events/Timely_Disclosures/20220408_????????????????????_irnews20220408.pdf)). PRO-market names depend on designated market makers - another layer between you and natural buyers.

10. Key person and small team risk

~**55** employees running **JPY 1.3 tn** AUM and a broad ETF lineup is efficient but fragile. Issuer filing flags CEO **Mizushima** as **major shareholder** and operational linchpin.

11. No third-party research edge in repo

`third-party-analyses` has **no approved** sell-side or Substack cross-check. You are alone with filings and mechanical models.

12. Yuho (annual securities report) still missing locally

EDINET filer **E31267** - full **yuho** not ingested. Segment detail, related-party flows, and officer shareholdings need that document.

TSE trading history - what actually happened

Why dashboards show no trading data?

Layer	Behavior
Exchange tape	PRO market + minimal prints ? most days
Yahoo / Stooq	Month-end return **0%** when price unchang
Portfolio backtests	`7176_T.csv` vault: **~0%** for almost all
README error	Says ?TSE Prime? - incorrect ; JPX list

Listing date (issuer history): January 2015 on TOKYO PRO Market ([issuer information](7176.T/research/evidence/_text_en/20250630_????_irnews20250630-1.pdf)).

Valuation - why high IRR is a mirage for you

Input	Value	Skeptic note
Price today	JPY 464	Last 100-share print, 7 Jan 2026
Mid-cycle owner cash	JPY 137.14 / sh (FY2025)	Correct croupier anchor
Peak owner cash	JPY 317.33 / sh (FY2026)	Do not use as ?normal?
Mechanical base IRR	~50% / yr (7-yr model)	Not achievable without (a) real liquid
Book / sh (FY2026)	JPY 757	Asset-light manager; book is not a downs
Stance	Watch / avoid sizing	Illiquidity overrides math

Reverse question: If the stock were truly mispriced with **50%** annual returns, why would insiders and the liquidity provider allow **100 shares** every six months while **buying back** via ToSTNeT instead of attracting real buyers?

Can you deploy USD 10k-100k?

Size (USD)	Rough JPY (@150)	Shares @ JPY 464	Realistic on open tape?
10,000	JPY 1.5M	~3,200	No - would require 32x the largest
50,000	JPY 7.5M	~16,200	No
100,000	JPY 15M	~32,300	No

Paths that might work (all non-standard):

1. **Negotiated block** with controlling holders / company (not disclosed in public IR).

2. **ToSTNeT**

****Until one of these is confirmed in writing from a broker, treat sizing as zero.****

Will CapIQ help?

****Yes, for diligence - no, for execution.****

CapIQ (or similar)	Value
Historical **TSE/PRO** prints and **turnov	Faster than Yahoo; may show **off-book** c
Ownership / float	Who controls the 27M shares? Insider %?
Peer multiples	Japan asset managers (e.g. listed AM firms)
Segment estimates	If analyst coverage exists (often **none**)
M&A / control premia	Relevant if only exit is sale of company

****CapIQ cannot:**** qualify you as a TPM buyer, place orders, or fix ****100-share**** liquidity.

****If you log in:**** export ****7176.T**** price/volume history, ****shareholders**** table, and any ****reported float**** - paste into ``7176.T/research/`` for a second-pass cross-check.

What could make us less skeptical

Falsifier	Threshold
Sustained **daily** volume	e.g. **>JPY 50M** /day for 60 sessions
Live quote at size	Broker depth for **USD 25k** without huge
Dividend or explicit payout policy	Filing commitment
Two years of success fees **without**	Then FY2026 anchor gains weight
Yuho ingested	Related-party and cap table clean
Market upgrade	Migration to **TSE Prime** (would be mater

Classification (unchanged mechanically, skeptic override)

Field	Value
Archetype	croupier
Moat	partial
Dhando	partial
Investor action	**No public-market position** until access
Mechanical IRR	53.33% synthesis (see <code>`valuation.json`</code>) -

Primary sources

- ``7176.T/02_Quarterly/Earnings_Releases/20260528_202673_??_????_????_??_finfo2026.pdf``

- ``7176.T/r`

[HUMAN REVIEW]

- Confirm ****investor eligibility**** (U.S. person ? Japan specified investor / professional).

- Pull ****Cap**

[PROPOSED MEMORY]

- [PROPOSED COMPANY] 7176.T: TOKYO PRO Market; ~15 volume days since 2015 listing; last print JPY 464×100 (Jan 2026); high IRR is non-executable for USD 10k-100k; success-fee cyclical; zero dividend.